BRACE FOR THE WORST

AS THE OIL SHOCKS THREATEN INDIA'S ECONOMY, PRIME MINISTER NARENDRA MODI CALLS FOR PRUDENT SPENDING. WHAT LIES AHEAD

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Illustration by NILANJAN DAS/AI



Prime Minister Narendra Modi's invocation of the COVID years at a public meeting in Secunderabad on May 10 was not empty remembrance of tough times. It was a warning. During the pandemic, Indians had made their peace with work-from-home arrangements, online meetings and curtailed consumption. Now, Modi suggested, we may need to revert to some of those habits—not because of a virus, but because of an economic storm gathering over India.

The trigger lies thousands of miles away—in West Asia. The widening conflict, involving the US, Israel and Iran, has disrupted energy markets, pushed up crude prices, hit remittances from the Gulf and exposed vulnerabilities in India's external finances. For a government that has just emerged victorious in three out of five assembly elections, the timing of Modi's message was significant. The prime minister was preparing citizens for hardship ahead and urging them to voluntarily adopt austerity. He advocated not buying gold for a year, cutting foreign travel and destination weddings, working from home wherever possible, reducing fertiliser and edible oil use, using public transport and carpooling, and opting for swadeshi goods. "During the corona period, we adopted work from home, online meetings, video conferences and developed many such systems," Modi said. "Today, the need of the hour is that we restart those practices."

Behind the appeal lies the worrying rise in India's current account deficit (CAD)—the gap between foreign currency inflows and outflows—primarily on account of the sharp rise in energy costs. Brent crude prices have climbed to around $110 (Rs 10,500) a barrel from $70 (Rs 6,700) before the US-Israel strikes on Iran in February, over 60 per cent higher than last July. India's oil refiners were estimated to be losing roughly Rs 1,000 crore a day before fuel price hikes were announced. As a result, the trade